WEEK 11 · LECTURE L2 · UNIT IV

Performance Culture Transformation

Schein's levels of culture and how leaders embed it, psychological safety, culture and performance, and why change efforts fail.

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AFTER THIS LECTURE YOU SHOULD BE ABLE TO

What this lecture prepares you for

- Explain Schein's three levels of culture and leaders' embedding mechanisms.
- Explain psychological safety and its evidence.
- Evaluate the link between culture and performance.
- Explain why culture change efforts fail.

COURSE OUTCOMES

CLO 5 (create high engagement cultures) and CLO 1 (sustainable performance ecosystems).

COMMIT BEFORE THEORY

A new values statement changes a company's culture.

Agree or disagree. What would have to change instead?

SCHEIN (2010)

Three levels of culture

Level	What it is	Example
Artifacts	Visible structures and processes	The appraisal form, the town hall
Espoused values	Stated strategies and goals	"We value development"
Basic assumptions	Taken for granted beliefs	Ratings exist to justify pay

Primary embedding mechanisms

ATTENTION

What leaders pay attention to, measure and control.

ALLOCATION

How resources, rewards and status are allocated.

ROLE MODELING

What leaders do, coach and teach.

PEOPLE DECISIONS

Who is recruited, promoted and let go.

KEY POINT

A performance system is an embedding mechanism: it tells people what leaders really attend to.

THEORY IN DEPTH · EDMONDSON (1996, 1999); FRAZIER ET AL. (2017)

Psychological safety

THE CORE IDEA

A shared belief that the team is safe for interpersonal risk taking, which predicts learning behavior.

HOW IT WORKS

Better led hospital teams reported more errors, because members felt safe to report them; a meta analysis linked safety to learning, engagement and performance.

LIMITS AND CRITIQUE

Safety without accountability can become comfort; the two must be combined.

IN PRACTICE

A plant that punishes reported near misses sees fewer reports, not fewer incidents.

EXAM LENS

Use it to argue that culture change needs safety for voice. Pair with Kahn's safety condition from Week 2.

CULTURE AND PERFORMANCE

Strong is not the same as good

KOTTER AND HESKETT (1992)

Cultures that valued adaptation outperformed merely strong cultures over the long run.

CAMERON AND QUINN (2006)

Clan, adhocracy, market and hierarchy cultures emphasize different values: competing values.

THE LONG ARC · KOTTER (1995)

Why culture change fails

TOO LITTLE URGENCY

Failing to establish why change is needed now.

VICTORY DECLARED TOO EARLY

Declaring success before changes sink into the culture.

EXAM LENS

Link Kotter to Schein: change reaches basic assumptions only when artifacts and embedding mechanisms change together.

COMPARE AND EVALUATE

Three lenses on culture change

Lens	Where change must happen	Main risk
Schein	Basic assumptions, through leaders	Changing artifacts only
Psychological safety	Team norms for voice	Comfort without accountability
Kotter	A staged change process	Stopping too early

PRACTICE FOR THE END TERM EXAMINATION

Questions to rehearse

"Culture eats strategy, so change the culture first." Critically evaluate using Schein and Kotter. **20 marks**

A strong answer: explains levels and embedding mechanisms; uses Kotter on failure; links to performance systems; reaches a reasoned view.

How can a performance management system build psychological safety in an Indian firm? **20 marks**

A strong answer: defines safety; uses Edmondson and Frazier et al.; designs feedback and error handling; balances accountability.

Explain Schein's three levels of culture. **10 marks**

A strong answer: names and explains each; one example each.

CARRY THESE INTO THE EXAMINATION

Three things to remember

1. Culture lives in basic assumptions, changed by what leaders do
2. Safe teams report more errors, not fewer
3. Adaptive cultures beat merely strong ones over time

SET READINGS · FROM THE LESSON PLAN

Read for this lecture

Brun, J. P., & Dugas, N. (2008). An analysis of employee recognition: Perspectives on human resources practices. *International Journal of Human Resource Management, 19*(4), 716–730.

Edmondson, A. C. (1999). Psychological safety and learning behavior in work teams. *Administrative Science Quarterly, 44*(2), 350–383.

HOW TO USE THESE

These are the Week 11 set readings. Edmondson (1999) is the core reading for this lecture. The Lesson Plan also lists in house sample memos, which are not needed for the examination.

THEORY SOURCES · FOR REFERENCE

Sources for this lecture (1 of 2)

Works named on the slides of this lecture. They are background sources, not set readings.

Cameron, K. S., & Quinn, R. E. (2006). *Diagnosing and changing organizational culture* (Rev. ed.). Jossey Bass.

Edmondson, A. C. (1996). Learning from mistakes is easier said than done: Group and organizational influences on the detection and correction of human error. *Journal of Applied Behavioral Science, 32*(1), 5–28. https://doi.org/10.1177/0021886396321001

Edmondson, A. C. (1999). Psychological safety and learning behavior in work teams. *Administrative Science Quarterly, 44*(2), 350–383. https://doi.org/10.2307/2666999

Frazier, M. L., Fainshmidt, S., Klinger, R. L., Pezeshkan, A., & Vracheva, V. (2017). Psychological safety: A meta analytic review and extension. *Personnel Psychology, 70*(1), 113–165. https://doi.org/10.1111/peps.12183

Sources for this lecture (2 of 2)

Kotter, J. P. (1995). Leading change: Why transformation efforts fail. *Harvard Business Review, 73*(2).

Kotter, J. P., & Heskett, J. L. (1992). *Corporate culture and performance*. Free Press.

Schein, E. H. (2010). *Organizational culture and leadership* (4th ed.). Jossey Bass.